ICMAI
THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA
भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

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ADVANCE TAX

Behind every successful business decision, there is always a CMA

CONTENTS

1. Liability for Payment of Advance tax (Section 403)

❖ **Applicability:**

Advance tax is payable during the financial year on the **current income** of the assessee.

❖ **Current Income Meaning:**

Total income of the tax year that is **chargeable to tax**.

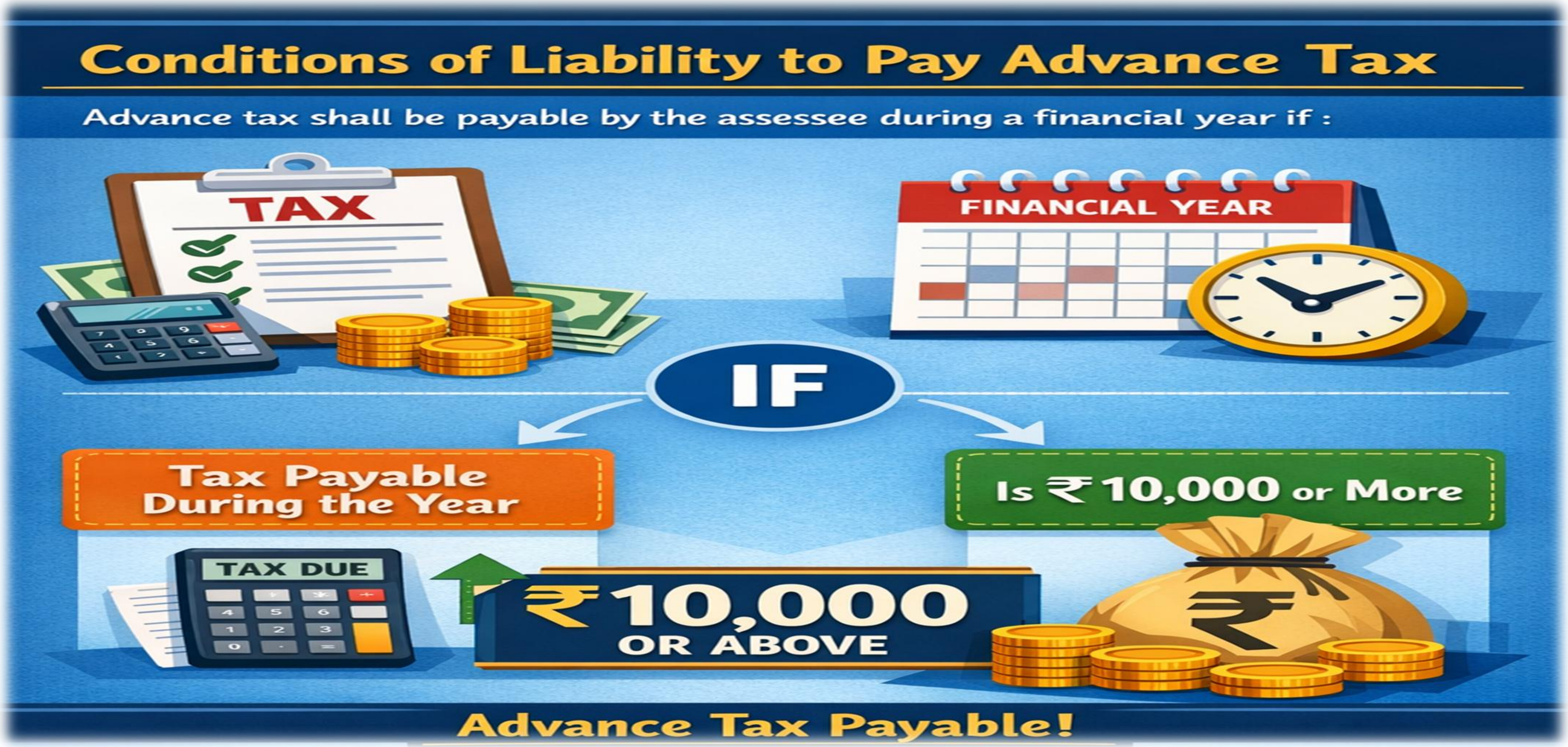
❖ **Exception (No Advance Tax):**

Not applicable to an **individual resident in India** if:

✓ ❌ No income under **"Profits & Gains of Business or Profession"**, and

✓ 🎂 Age is **60 years or more** during the tax year

2. Conditions of liability to Pay Advance tax (Section 404)



3. Computation of Advance tax (Section 405)

Basic Formula

Advance Tax Payable (A) = Tax on Income (B) – TDS/TCS (C)

Symbol	Term	Explanation
A	**Advance Tax Payable**	Amount you need to pay during the financial year
B	**Tax on Estimated Income**	Income-tax calculated on your total estimated income (Specified Sum)
		Use current year tax rates
C	**TDS/TCS**	Tax already deducted (TDS) or collected (TCS) at source
		Only include if:
		• Income considered in total income
		• Amount credited/ Debited after deduction/collection.

AGRICULTURAL INCOME FOR ADVANCE TAX PURPOSES

[Applicable to Specified Class of Assessees as per Finance Act]

FINANCE ACT

If Finance Act specifies that **Net Agricultural Income** is to be considered for **Advance Tax Calculation**

Two Cases:

CASE 1

By Assessing Officer
(Section 407(1) & (4))

AO

Net Agricultural Income =

Amount determined u/s 407(3) & (6) for charging tax on **Specified Sum**

✔ **Use Prescribed Amount**

CASE 2

Other Cases
(Not u/s 407)

Net Agricultural Income =

Estimated by **Assessee** for the Tax Year

✔ **Use Assessee's Estimate**

Result:

Net Agricultural Income (as per above) + TAX **Other Income** = **Total Income for Rate Calculation**

Note: Applies only if Finance Act mandates inclusion of **Agricultural Income** for Advance Tax.

4.Payment of advance tax by assessee on his own accord (Section 406)

Who Should Pay?

- Any person liable under Section 404
- Applicable even if not previously assessed
- Payment is made voluntarily (self-assessment basis)

How is Advance Tax Paid?

- Based on “Specified Sum” (estimated current income)
- Computed as per Section 405
- Paid at prescribed rates
- Must be paid on or before due dates (Section 408 instalments)

Flexibility in Payment

- Assessee can revise advance tax during the year
- Can increase or decrease remaining instalments
- Adjustment based on updated income estimates

Key Definition

•Specified Sum = **Estimated current income of the assessee**

5. Payment of advance tax by assessee in pursuance of order of Assessing Officer. (Section 407)

◆ Order by Assessing Officer (AO)

- ❖ Applicable where assessee is already assessed previously
- ❖ AO may issue written order to pay advance tax
- ❖ Tax calculated on "Specified Sum" (Sec 405)
- ❖ Instalments & due dates as per Section 408

◆ Time Limit & Demand Notice

- ❖ Order can be passed during the financial year (up to Feb end)
- ❖ Followed by Notice of Demand (Sec 289)

◆ Meaning of "Specified Sum"

- ❖ Higher of:
  - ✓ Last assessed income, OR
  - ✓ Income returned in a later year

Revision / Amendment by AO

- Assessing officer can amend order if:
  - ✓ New return filed, or
  - ✓ New assessment completed
- Revised order issued before 1st March

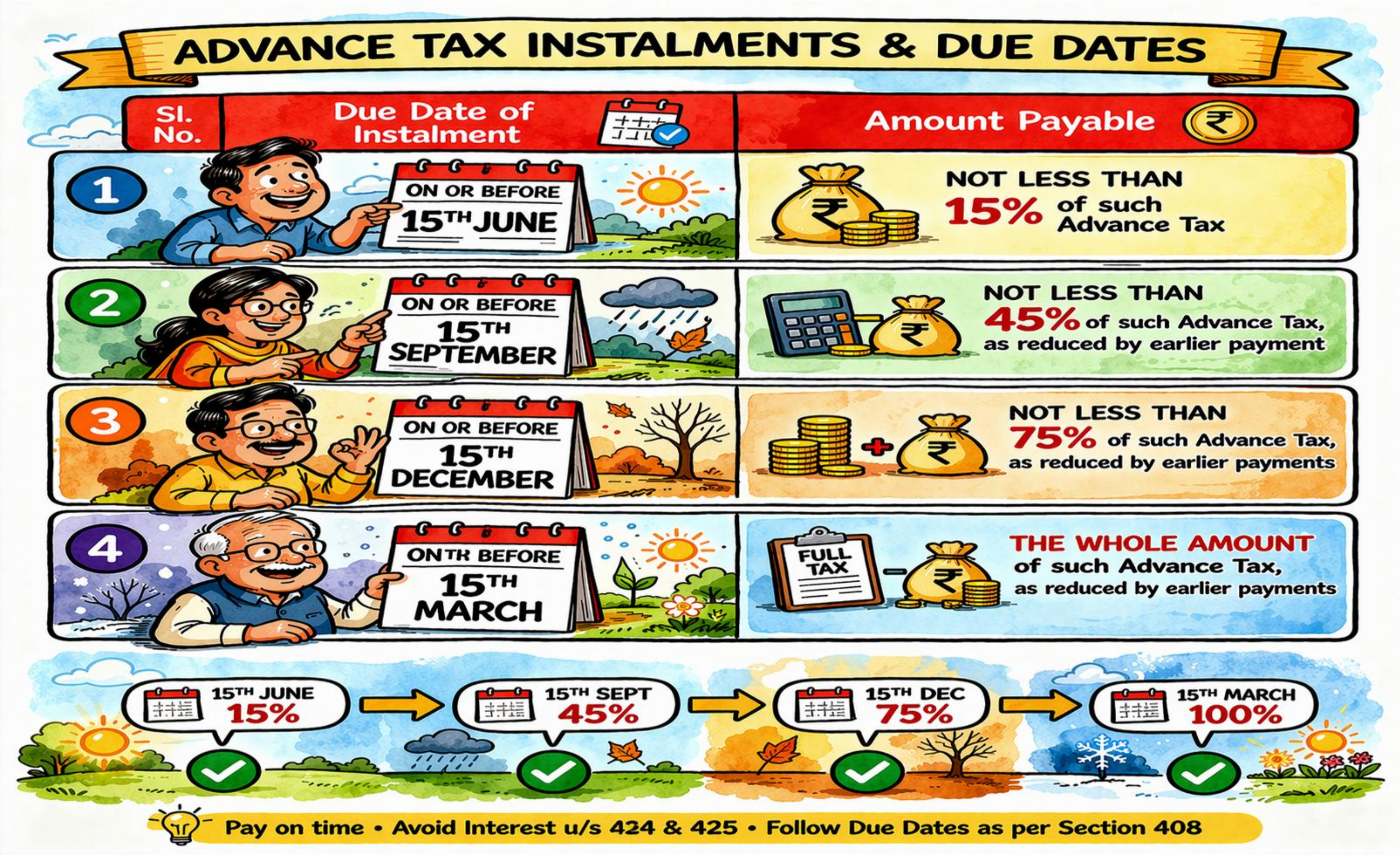
Flexibility to Assessee

- If income is **lower** → can intimate AO & pay reduced tax
- If income is **higher** → must pay higher advance tax accordingly

Special Case (Late Notice)

- If demand notice is served after advance tax due dates
  → Tax payable in remaining instalments.

6. Instalments of Advance tax and due dates (Section 408)



For freelancers, small business owners who have opted for Presumptive Taxation Scheme under Section 58 – the advance tax due dates are as follows.

Due Date	Advance Tax Payment Percentage
On or before 15th March	100% of advance tax

Any amount paid on or before the 31st March, shall still be treated as advance tax for the year.

7. When assessee is deemed to be in default (Section 409)

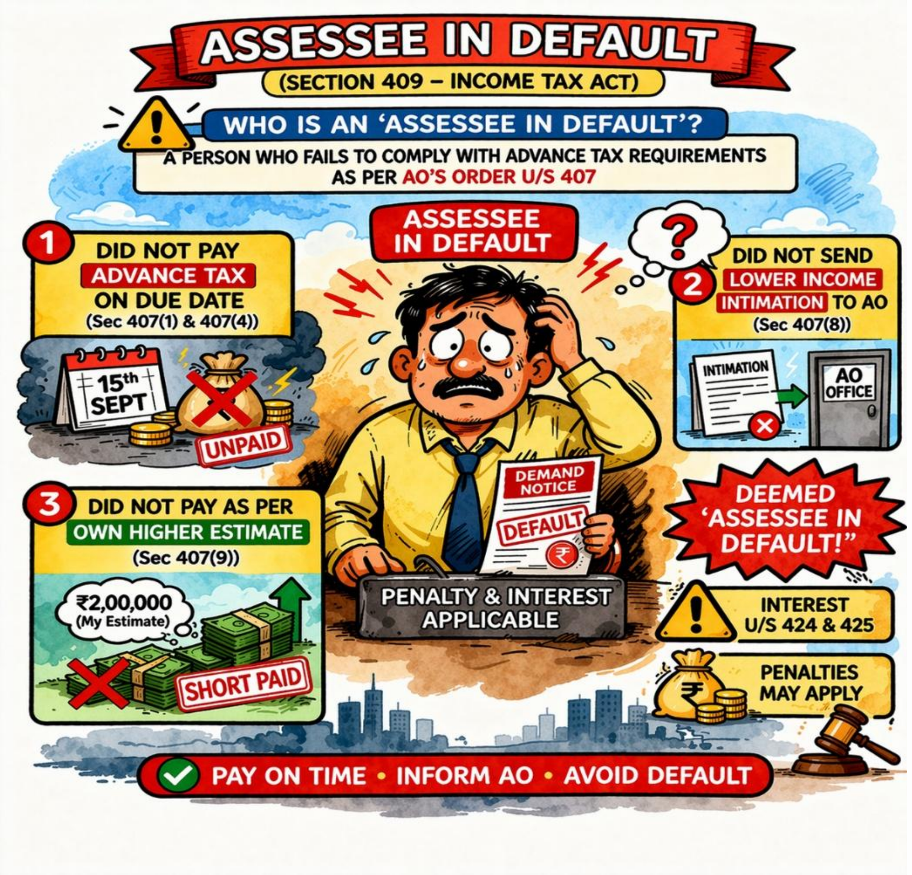
When is a Person Treated as ‘Assessee in Default’?

A person becomes an assessee in default if:

1. Non-payment of Advance Tax
•Fails to pay instalments as per AO’s order (Sec 407)
•Not paid on due dates (Sec 408)

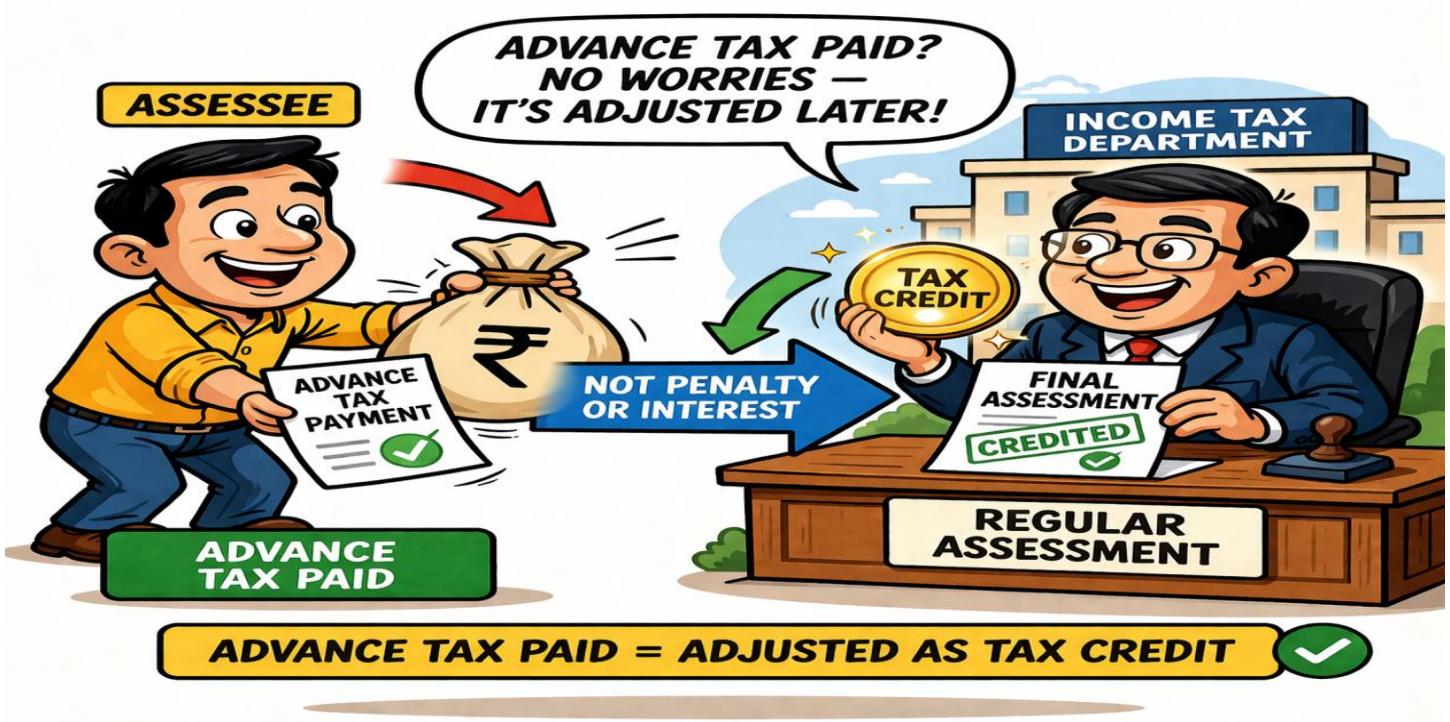
2. Failure to Intimate
•Does not inform AO about lower income estimate
•Intimation under Sec 407(8) not submitted on time

3. Failure to Pay as per Own Estimate
•Does not pay advance tax based on higher income estimate
•Non-compliance with Sec 407(9)



8. Credit for Advance tax (Section 410)

Any sum, other than a penalty or interest, paid by or recovered from an assessee as advance tax shall be treated as a payment of tax in respect of the income of the tax year in which it was payable, and credit therefor shall be given to such assessee in the regular assessment.



9. Illustrations

1. For the FY 2026-27, Ajay estimates his annual gross receipts at Rs 20,00,000. Ajay estimates his expenses at Rs 5 lakhs. Professional receipts of Ajay are subject to TDS. Ajay estimates a TDS of Rs 30,000 on certain professional receipts for the FY 2026-27. Besides professional receipts, Ajay estimates an interest of Rs 10,000 on fixed deposits held by him. Ajay also got Rs 60,00,000 as Capital gains from the sale of his land on 10^{th} Dec 2026(TDS Deducted-8,00,000). What will be Ajay's advance tax liability?

Particulars	Amount (₹) (Before 10^{th} Dec)	Amount (₹) (After 10^{th} Dec)
Income from Profession		
Gross Receipts	20,00,000	20,00,000
Less: Expenses	5,00,000	5,00,000
Net	15,00,000	15,00,000
Income from Capital Gains	0	60,00,000
Income from Other Sources	10,000	10,000
GROSS TOTAL INCOME	**15,10,000**	**75,10,000**
Less: Deductions	-	-
TOTAL INCOME	**15,10,000**	**75,10,000**
Tax on Capital Gains (Special rate of tax @12.5%)	-	7,50,000
Tax Payable on other Income (Slab rate)	1,06,500	1,06,500
Total tax Payable	**1,06,500**	**8,56,500**
Add: Surcharge @10% & Education Cess @ 4%	4,260	1,23,336
GROSS TAX LIABILITY	**1,10,760**	**9,79,836**
Less: TDS	30,000	8,30,000
ADVANCE TAX PAYABLE (Applicable as it exceeds ₹10,000)	**80,760**	**1,49,836**

The advance tax instalment amounts can be calculated as shown below:

Due Date	Advance Tax Payable	Amount (₹)
15th June	15% of Advance Tax	12,114
15th September	45% of Advance Tax	24,228 (36,342-12,114)
15th December	75% of Advance Tax	76,035 (1,12,377-36,342)
15th March	100% of Advance Tax	37,463 (1,49,840-1,12,377)

Note:

1. The above example of tax liability is calculated under the new tax regime.

2. The Tax on Capital Gains should be paid in the next installment due date from the transaction date-(No interest under section 425 will be charged

Thank You

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